

**FEDERAL MARITIME COMMISSION**

**DOCKET NO. 21-04**

---

**GREATWAY LOGISTICS GROUP, LLC.**

**v.**

**OCEAN NETWORK EXPRESS PTE. LTD.**

---

**BUREAU OF ENFORCEMENT'S RESPONSE TO JOINT MOTION FOR APPROVAL  
OF SETTLEMENT AGREEMENT, DISMISSAL OF THE COMPLAINT WITH  
PREJUDICE AND TREATMENT OF SETTLEMENT AGREEMENT AS  
CONFIDENTIAL**

---

Pursuant to Rule 70 of the Federal Maritime Commission's (FMC or Commission) Rules of Practice and Procedure, 46 C.F.R. § 502.70(b), the Bureau of Enforcement (BOE) submits this Response To Joint Motion For Approval Of Settlement Agreement, Dismissal Of The Complaint With Prejudice And Treatment Of Settlement Agreement As Confidential.

**I. BACKGROUND**

On May 18, 2020, Respondent Ocean Network Express Pte. Ltd. (ONE) filed a lawsuit in the United States District Court for the Southern District of Texas against Greatway Logistics Group, LLC (Greatway) and others (case No. 4:20-CV-1734). ONE claimed all the defendants

were “Merchants” as ONE defined that term in its Bill of Lading<sup>1</sup> and so were jointly and severally liable for the demurrage and storage fees due on two bills of lading.

Greatway was not a party to the bills of lading at issue nor did Greatway have an interest in the cargo. Greatway acted only as notify party or to obtain customs clearance for the Consignee.

On May 25, 2021, Greatway filed this formal complaint with the Commission against ONE. Greatway alleged that ONE’s efforts (the TX lawsuit) to collect demurrage and storage from it was unfair, unreasonable, and discriminatory. Greatway alleged ONE’s actions were violative of 46 U.S.C. §§ 41102(c) and 41104(a)(4)(E) (sections 10(d)(1) and 10(b)(6)(E)), as well as Commission Regulations at 46 C.F.R § 545.4 (Commission Interpretive Rule on section 10(d)(1) violations).

On June 11, 2021 BOE filed a motion for leave to intervene in the private party complaint. On August 4, 2021, the ALJ granted BOE’s motion.

## **II. BOE INTERVENTION**

BOE sought intervention to lend its experience and expertise. BOE contended it could aid in development of the factual record and in evaluating the gravity of any violations found. Specific to this action, BOE sought intervention because it believes that ONE’s definition of “Merchant” in its bill of lading is overly expansive, encompassing entities that are not parties to the bill of lading, or who do not hold an interest in the cargo. Further, BOE believes that ONE’s application of its Merchant clause to Greatway, or those similarly situated, may be an unreasonable policy and practice violative of 46 U.S.C. § 41102(c). BOE believed that as a party to this action, it could

---

<sup>1</sup> ONE defines “Merchant” as including: “the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers (“NVOCCs”), and freight forwarders.” ONE’s B/L Terms are found on its website at <https://www.one-line.com/en/standard-page/b/l-terms>.

provide assistance in clarifying whether ONE's actions constitute its normal, customary, and continuous practices pursuant to 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d).

BOE is not a signatory to the settlement agreement between Greatway and ONE that has been submitted for the ALJ's approval. Although BOE initially participated in the settlement discussions, those discussions resulted in a commercial resolution which does not address BOE's concerns. BOE does not seek to interfere with the commercial resolution that the primary parties reached with assistance of counsel. Accordingly, BOE continues to have concerns regarding whether ONE's application of its merchant clause may be a violation of the Shipping Act.

### **III. CONCLUSION**

BOE takes no position regarding the commercial terms of the settlement agreement.

November 12, 2021

CORRIN  
CINQUE

Digitally signed by CORRIN  
CINQUE  
Date: 2021.11.12 11:35:33  
-05'00'

Benjamin K. Trogon, Director

[btrogdon@fmc.gov](mailto:btrogdon@fmc.gov)

Cory R. Cinque, Trial Attorney

[ccinque@fmc.gov](mailto:ccinque@fmc.gov)

Brenda Doty, Trial Attorney

[bdoty@fmc.gov](mailto:bdoty@fmc.gov)

BUREAU OF ENFORCEMENT  
FEDERAL MARITIME COMMISSION  
800 North Capitol St., N.W.  
Washington D.C. 20573-0001  
(202) 523-5783

## **CERTIFICATE OF SERVICE**

I hereby certify that on this 12<sup>th</sup> day of November 2021, a copy of the foregoing Bureau of Enforcement's Response To Joint Motion For Approval Of Settlement Agreement, Dismissal Of The Complaint With Prejudice And Treatment Of Settlement Agreement As Confidential was served upon all counsel of record in accordance with 46 C.F.R. Part 502.

**CORRIN  
CINQUE**

Digitally signed by CORRIN  
CINQUE  
Date: 2021.11.12 11:36:22  
-05'00'

---